

Monthly, quarterly or annual financial commitments, calculated to a weekly average: rent, household bills, health insurance payments, car loan repayments, etc.

Minus

Savings – as much as possible

Equals

Pocket money – what is left over; in my case, a steady \$200 a week, or a maximum of \$350 a week if required

The Pocket Money Savings Plan works like this: my full salary is deposited into a bank account in my parents' names, so that I don't know the internet banking passwords and have no way to dip into it on a whim. My bills, including rent, mobile phone charges and car repayments, are direct-debited from my salary account, so it mostly sits idle. My parents rarely touch it.

Once a week, I receive \$200 in 'pocket money', which I live on and use to pay for food, transport, entertainment and incidentals. The pocket money can also be transferred fortnightly, if I wish.

The long-term goal is to enjoy complete access to that salary, without risk of mismanagement. There is a point at which you must take back control of your own account, a crucial step for proving to the bank that you're a reliable candidate for a home loan. For example, my bank, ANZ, requires my salary to be credited to my account for the three months before applying for a home loan, with pay slips to back up that income.

The Pocket Money Savings Plan is a back-to-basics approach for people who haven't learned how to respect and control money. It is not a permanent solution – you can't manage money like this for the rest of adulthood, and a bank won't give you a home loan without you managing your own money for a period of time – but it is intended to be a powerful burst of intensive therapy for those abusing cash.

In the short term, this fast-tracked savings plan corrects financial mistakes and rockets you towards a first home deposit. From the Pocket Money Savings Plan, you can graduate to other long-term savings strategies from whichever financial boffins resonate with you, and there are many to choose from.